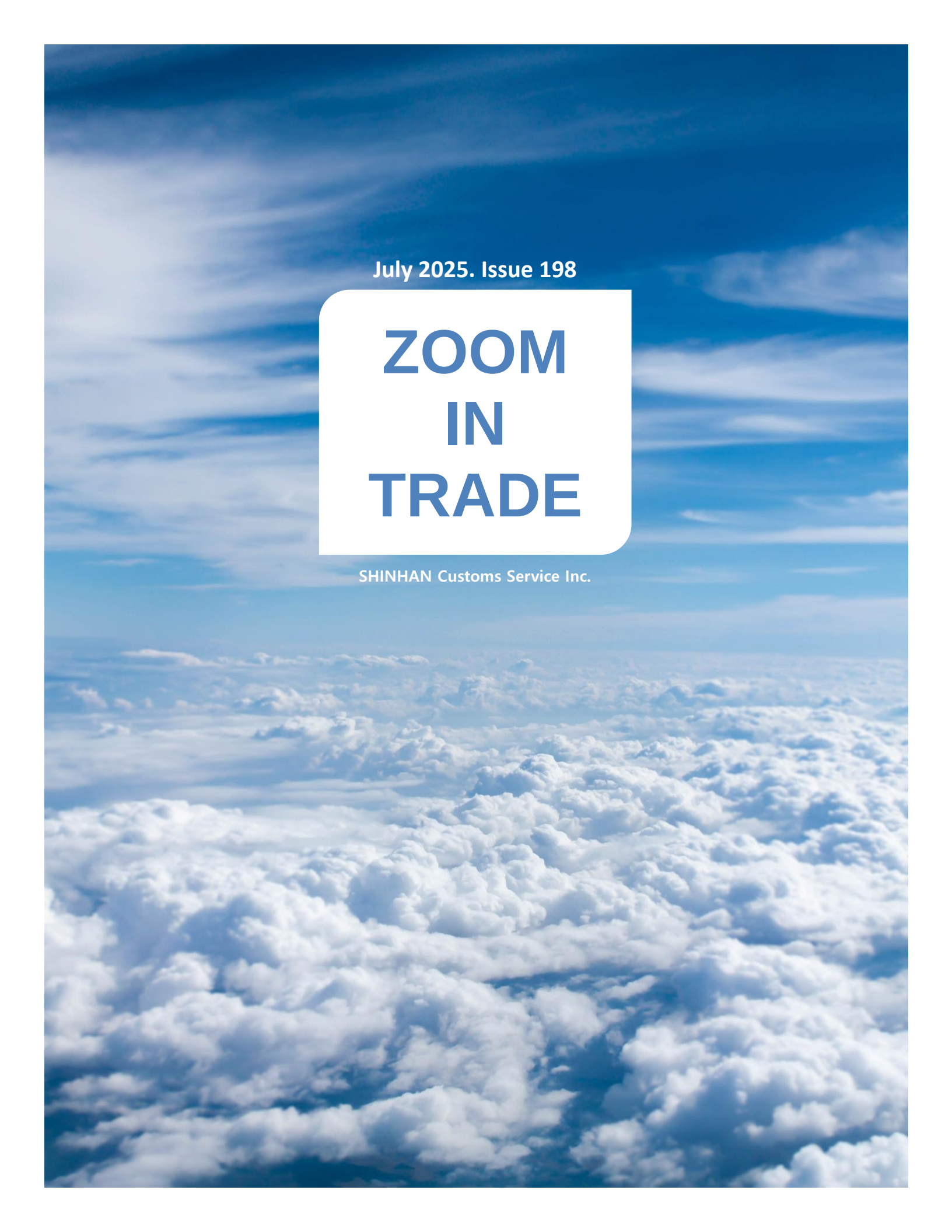




July 2025. Issue 198

ZOOM IN TRADE

SHINHAN Customs Service Inc.

Where Is Grace Chang?

03 ... Glass and mirror

Ideal and Reality

06... Online Sales of Counterfeit Goods Threaten the National Economy

Analysis on Recent Customs Judicial Precedent

13... Supreme Court 2024.4.16. Decision 2021du 36196 [Cancellation of customs duty imposition]

HS case solved by logic

20 ... HS Cases for Automobile Body Parts (HS Changes Due to Partial Revision of Product Classification Change Notice)

Global Customs Insight

23 ... Strengthening Vietnam's country of origin management and supervision

FTA and import/export practical business guide

27 ... Regarding the determination of strategic materials during export customs clearance

Contents and Opinion of Customs Trade Amendment

31 ... Proposed Amendment to the Public Notice on the Registration and Management of Customs Clearance Unique Codes and Foreign Transaction Party Codes



Glass and mirror

Grace Chang

CEO/Customs consultant

“
The greatest freedom given to us in life
is the freedom to choose our attitude—
no matter the situation.
”



“Mirror, mirror on the wall, who is the fairest of them all?”

The Queen, Snow White’s stepmother, asks her magic mirror.

To her dismay, the mirror replies,

“You are beautiful, my Queen. But Snow White is even more beautiful.”

“Snow White?!?”

Gripped by jealousy, the Queen devises a plan to harm her.

A mirror is not just a piece of glass.

Its surface must be coated with a metallic layer—such as silver or aluminum—to reflect light. Only then does it show the image in front of it.

Today, mirrors are used in various forms, such as in car rearview mirrors, but *their primary function remains: to reflect ourselves.*

Glass, by nature, is a transparent material that allows most light to pass through.

It was first discovered around 3000 BCE in Mesopotamia.

In the 1st century BCE, the Roman Empire developed glassblowing techniques, leading to its industrial expansion.

Today, glass is used in windows, bottles, cookware, and optical instruments—a window through which we view the world.

Ideal and Reality for this month is 'Online Sales of Counterfeit Goods Threaten the National Economy', Analysis on Recent Customs Judicial Precedent covers 'Supreme Court 2024.4.16. Decision 2021du 36196 [Cancellation of customs duty imposition]', and HS case solved by logic reports 'HS Cases for Automobile Body Parts (HS Changes Due to Partial Revision of Product Classification Change Notice)', Global Customs Insight is 'Strengthening Vietnam's country of origin management and supervision' and FTA and import/export practical business guide is 'Regarding the determination of strategic materials during export customs clearance, Contents and Opinion of Customs Trade amendment Covers 'Proposed Amendment to the Public Notice on the Registration and Management of Customs Clearance Unique Codes and Foreign Transaction Party Codes'

What do we choose to look at in life?

The Queen, mesmerized by her own beauty reflected in the mirror, [fixates all her attention on herself](#).

She reminds us of Narcissus, the figure in Greek mythology who fell in love with his reflection in a pool and could not leave it—ultimately dying there.

The term [narcissism, referring to excessive self-love and egocentrism](#), applies equally to the Queen, who is cursed by her obsession with the mirror's magic.

[She spirals into a path of jealousy and destruction—a tragedy of self-absorption and egocentricity.](#)

["Make America Great Again."](#)

This is the slogan that U.S. President Donald Trump likes to use. Wearing a MAGA cap, he often acts as if he is the center of the world—like a king carrying a magic mirror, seeing only what reflects his desires.

["Mirror, mirror, which country is the greatest of them all?"](#)

Rather than a leader of all, his focus seems confined solely to the interest of his own nation, America.

If we strip away the silver behind the mirror, it becomes transparent glass again.

And through glass, we can see the world.

Beyond the narrow world where only I exist, a vast, open world appears. We begin to see our neighbors, our surroundings. Our inward-facing attention turns outward—toward the sky, the clouds, busy office workers rushing along the streets, and elderly people pulling carts.

The window to the world opens.

Microsoft's operating system is named Windows for a reason.

Its logo in the form of a window is not just a design—it symbolizes a gateway to the world: information, communication, and connection.

It invites us to lift our gaze and look outside ourselves.

Through this digital glass, we can glimpse into the lives of others, both near and far.

So I ask myself—am I a glass person or a mirror person?

For 24 hours a day, 365 days a year, what am I choosing to look at?

What I gaze upon shapes my thoughts, and those thoughts accumulate to shape my life.

To reflect on myself in the mirror—with gratitude, self-examination, and growth—is a necessary pause before I step into the world beyond, ready to play my role.

The greatest freedom given to us in life is the freedom to choose our attitude—no matter the situation.

Whether I choose to hold up a mirror that reflects only myself, or open a window that looks out to the world, is entirely up to me.

The heat is relentless these days. Please take care of your health.

Thank you.





Ideal and Reality

Online Sales of Counterfeit Goods Threaten the National Economy

Rather than relying solely on customs inspections and crackdowns, we need institutional and systemic reform.

There are more jobs in the counterfeit industry than in all of U.S. manufacturing.

As of 2024, the United States has approximately 13 million manufacturing jobs, accounting for 8.2% of the total 158 million employed individuals. To increase these jobs, President Trump has been waging a tariff and trade war against key countries by imposing item-specific and reciprocal tariffs since the beginning of the year. Of course, there are other motives behind this policy as well.



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So, how many jobs does the counterfeit industry create?

Approximately 22 million—more than the total number of U.S. manufacturing jobs. The global counterfeit market is now larger than the entire semiconductor industry, and it is even estimated to exceed Microsoft's market capitalization (₩4,000 trillion, or roughly \$3 trillion USD). Notably, China and Hong Kong are responsible for 86% of the global counterfeit trade.

Online Sales of Counterfeits Are Draining Even More National Wealth

Today, I want to reflect on the problems posed by the online sale of counterfeit goods through e-commerce, and why—despite the existence of institutional mechanisms to stop it—there is a lack of effective implementation.

In the past, counterfeit sales in Korea typically followed a specific pattern: importers would buy large quantities of fake goods at low prices from massive counterfeit markets such as “Zhanxi Road” in Guangzhou, China. These goods were then falsely declared under misleading brand names during general cargo import procedures and discreetly sold in markets like Dongdaemun.

However, with the growth of e-commerce, counterfeit imports have shifted from bulk shipments to frequent small-scale imports via express cargo services. Sellers now openly market these counterfeits on online platforms such as Naver, Coupang, AliExpress, Temu, 11st, and Gmarket. Since overseas sellers can sell directly through these platforms, they can exploit loopholes where the importer and seller listed in simplified customs declarations (“list-clearance”) do not have to match. Additionally, by using direct international shipping, foreign sellers can bypass Korea’s customs inspection system altogether.

Even when customs authorities detect these items, only the specific goods are confiscated—tracking down the actual seller is difficult. Because the activity is small in scale but highly repetitive, customs crackdowns face significant limitations.

In the Past, Profits Stayed Local—Now, They Flow Directly Overseas

Previously, the structure of counterfeit trade involved domestic importers purchasing fake goods at low prices from Chinese sellers, allowing the Korean importers to reap substantial profits while the counterfeit producers in China earned only slim margins.

However, with the development of e-commerce, this structure has drastically changed. Now, counterfeit sellers in China can sell directly to Korean consumers or pay small handling fees to local agents to facilitate domestic delivery. As a result, the vast majority of sales revenue flows straight out of Korea—primarily to China and other countries. In short, foreign currency is now being lost on a much larger scale.

Even based on my own experiences, the change is striking. Over a decade ago, I was surprised to see a team of four employees earn a net profit of 700 million KRW (approx. \$500,000) over six months from counterfeit sales. Today, however, it's common to see single-person operations making over 1 billion KRW (approx. \$750,000) in annual net profits.

This proves that despite government efforts to crack down on intellectual property infringements and strengthen inspections of express shipments, it is physically impossible to filter out the countless small-volume shipments that occur repeatedly. Crackdowns and inspections alone are insufficient to eradicate the import and sale of counterfeits. Although multiple government agencies and related organizations are involved in enforcement, the absence of centralized oversight and a fundamental institutional solution means the scale of counterfeit imports and sales remains largely unchanged.

Online Platforms Are Passive in Regulating Counterfeit Sellers

On online platforms, sellers suspected of distributing counterfeit goods often use aliases for after-sales service (AS) and return contact numbers. Although platforms require sellers to disclose contact and return information, some sellers instead place this information in the product description section—where it is either missing, hidden, or difficult for consumers to locate.

While these platforms claim to prohibit and monitor the sale of counterfeit goods, in reality, they often neglect to strictly manage critical aspects such as seller transparency. This leniency enables counterfeit sellers to omit or obscure important product and seller information, effectively allowing them to operate unchecked.

The reason this issue is being emphasized again in 2025 is to stress that rather than simply intensifying inspections and crackdowns, we must focus on refining the regulation of e-commerce platforms and tightening the express customs clearance system. The government holds both the authority and the responsibility to prevent national wealth from leaking into the hands of counterfeit sellers. It must rigorously operate and enforce systems to stop this outflow at its root.

Counterfeit Goods Cannot Be Curbed Through X-Ray and Physical Inspections Alone—Not with 200 Million Parcels a Year

Every time a new minister or customs commissioner takes office, they make a symbolic visit to express cargo clearance sites, where nearly 200 million international parcels are processed annually. They offer words of encouragement to the customs officers and affiliated agency staff working hard on the ground. In preparation for these visits, extensive briefing materials and presentations are prepared days in advance. Official press releases often highlight directives to “conduct thorough inspections.”

However, the fundamental problem remains: counterfeit goods cannot be effectively detected through X-ray scans or physical inspections alone.

Having spent over a decade overseeing express cargo and general freight inspections at airport and port customs, and having personally handled administrative coordination and on-site tour preparations for high-ranking officials, I understand the limitations on the ground all too well. It is simply not feasible for the limited number of customs personnel to inspect or scan over 200 million international direct-purchase items per year. Even identifying high-risk goods like firearms or narcotics is extremely challenging under current conditions—trying to catch counterfeits through inspections is practically impossible.

In short, frontline customs officers alone cannot stop the inflow of counterfeits or prevent the resulting outflow of national wealth.

To Reduce the Import and Sale of Counterfeits, the List-Clearance System Must Be Reformed

In early 2024, I proposed to the Korea Customs Service that X-ray scans and physical inspections alone are insufficient to block the inflow of counterfeit goods via e-commerce. I recommended that foreign e-commerce platforms be required to enter and disclose product registration numbers and that brand information be included in customs declaration lists.

However, the response from the Customs Service was mostly dismissive. They replied that “other improvement measures are already underway,” and although they acknowledged the idea of including brand information was under consideration, they expressed concern that removing high-risk items—such as clothing, shoes, bags, and watches—from the list-clearance process could lead to logistics delays and consumer complaints.

Ultimately, the response was vague: “We will consider alternative measures.”

If we assess whether counterfeit imports through list-clearance and sales through online platforms have decreased since then, the answer is clearly no.

Simply by adding brand information to the customs declaration list, e-commerce declaration companies can be induced to submit brand details when filing list-clearance declarations.

If the brand is declared as "NO" and an inspection confirms that the item is in fact branded, list-clearance can be denied and changed to general import declaration.

If clear sanctions are imposed on e-commerce companies that submit false customs declarations, the rate of brand disclosure will naturally increase.

By combining the secured brand information with data on the number of import declarations made by each importer, it becomes possible to verify whether items repeatedly imported by a given party are counterfeits, and inspection efficiency can be improved.

As of now, a year and a half later, brand information has still not been added to the customs declaration list, and there is still no detailed real-name verification or management of seller and return contact information on e-commerce platforms.

Counterfeit transactions have not decreased, and there is no tangible sense that counterfeit sales are actually being reduced.

Profits from Counterfeit Sales on E-Commerce Platforms Should Be Confiscated

Direct oversight of e-commerce platforms by customs authorities is entirely feasible. Selling counterfeits ultimately involves deceptive importation of branded goods, which constitutes smuggling under Article 269 of the Customs Act. This offense applies not only to importers but also to sellers, transporters, storage providers, and intermediaries—all can be held legally accountable.

In other words, the Korea Customs Service already holds the authority to investigate and regulate platforms that openly allow the sale of counterfeit (i.e., smuggled) goods. Furthermore, the commission revenue earned by online platforms from such sales is a share of the profits derived from smuggled goods. Therefore, it is legally plausible to apply charges such as aiding and abetting smuggling or profiting from the acquisition of smuggled goods—and to pursue confiscation or fines accordingly.

If counterfeit sales no longer generate profits, platforms will be more motivated to directly regulate and restrict counterfeit sellers.

Major Online Platforms in the U.S. and Japan Have Significantly Reduced Counterfeit Listings

It is now extremely difficult to find suspected counterfeit goods on major platforms such as Amazon in the United States or Qoo10 and Rakuten in Japan. In contrast, on platforms frequently used by Korean consumers, counterfeit products are still easy to find. While platform-level enforcement plays a role, a major factor is that customs authorities in the U.S. and Japan have well-functioning clearance systems for e-commerce goods.

In Korea's case, the continued presence of counterfeit goods stems from the failure to properly operate the list-clearance system. This is not a problem of frontline customs inspectors, but of institutional oversight.

Duty-free clearance for international direct-purchase goods is permitted only when items are for personal use. However, if a single person clears an average of 471 shipments per month—over 5,000 per year—it is clearly not for personal use, but rather for commercial purposes, constituting de facto smuggling under the list-clearance system. The top 20 importers processed an average of 101 shipments per month, which similarly cannot be considered personal use. This is not just a matter of collecting back taxes—it requires systemic action. Many organizations have already recommended limiting the number of list-clearance declarations per person per year, yet no meaningful changes have been made. Continuing to merely “review” the issue without implementing reforms is no longer acceptable.

The List-Clearance System Must Be Reformed and If Counterfeit Sellers Adapt, So Must the System

If more than five list-clearance declarations are made under the same name or to the same address in a single month, requiring a switch to general import declaration would significantly reduce counterfeit imports. However, if even this is delayed indefinitely under the pretense of “long-term review” or concerns about “logistics delays,” then there is no way to curb the flow of counterfeits.

Even in the second half of 2025, imports of counterfeit goods from China and Hong Kong have not decreased at all. In fact, counterfeiters have begun producing fake versions of Korea's competitive exports such as K-beauty products and K-foods and selling them globally. It takes years of R&D investment, marketing costs, and accumulated losses to finally build strong Korean brand power—only to have it stolen and sold overnight. That is outright theft.

If the current list-clearance system continues to give free rein to counterfeiters who will do anything for money, these sellers will eventually use the profits from counterfeit sales to expand into other industries—posing a serious threat to the Korean economy.

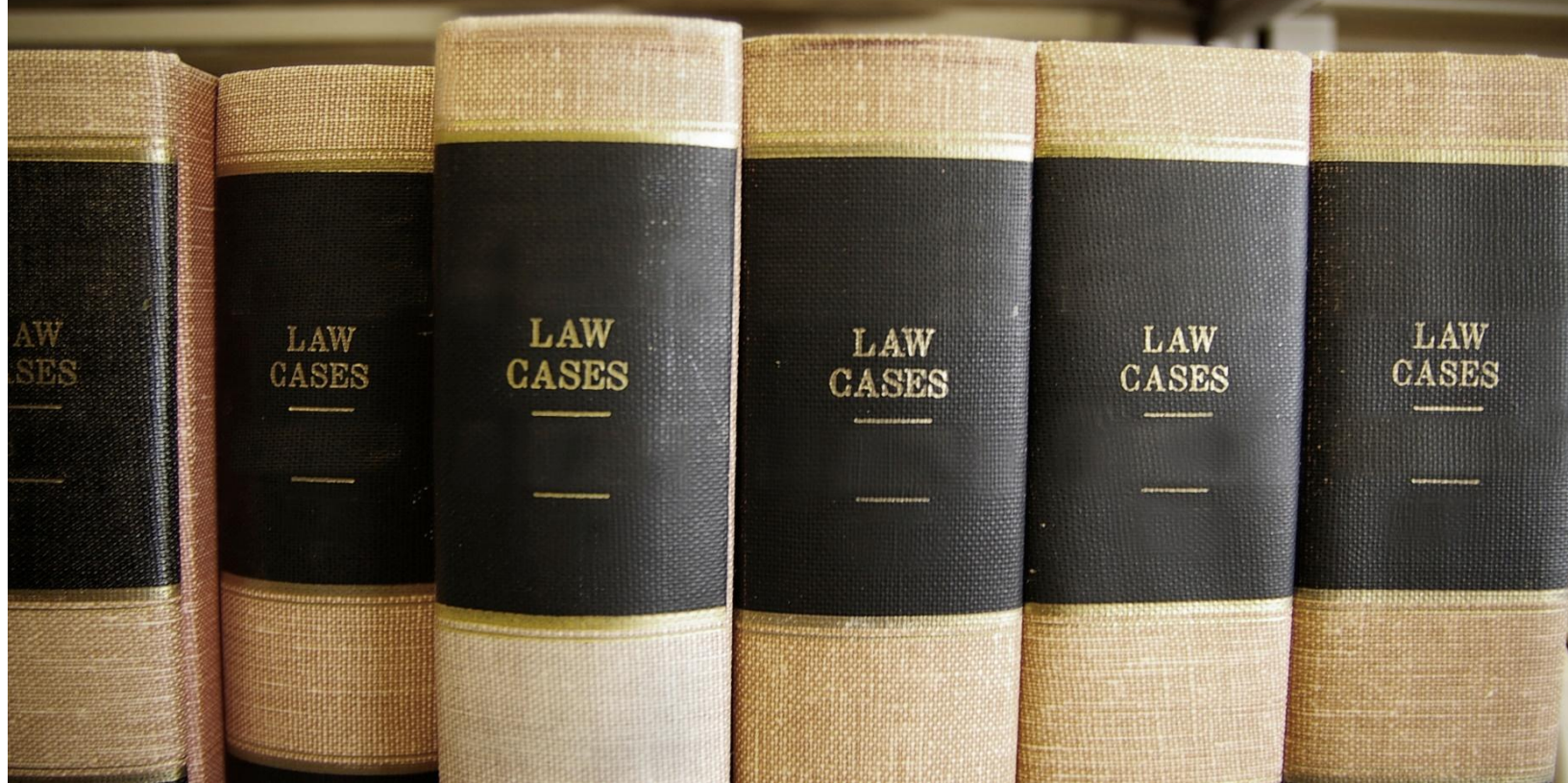
Public Perception of Counterfeit Buyers Must Also Change

The way society views consumers of counterfeit goods must evolve. Some may think, “I can't afford genuine luxury goods, so I find comfort in counterfeits.” But this mindset ignores the fact that counterfeit goods are stolen intellectual property. When consumers hand over their hard-earned money to such products, they are effectively funding theft. What's worse, these profits go to overseas counterfeit networks—fueling capital that grows to dominate the online marketplace and even manufacturing industries. Seen in this light, buying counterfeits can be considered an act that endangers national interests.

If people fully understood the influence and threat posed by counterfeit producers, sellers, and platforms, there would be a stronger collective will to eradicate the problem. We could then build consensus around the need for bold reforms to both policies and enforcement processes.

The government must be willing to endure public complaints or user inconvenience when implementing what is right. Supervisors of institutional reform must also act as a shield for those making difficult decisions. The authorities already know what needs to be done to root out counterfeit imports through the list-clearance system—they simply have not acted decisively.

To protect national wealth and the companies that have invested heavily in developing technologies and brands, the customs clearance system must be restructured in detail. The government cannot afford to delay out of fear or overreliance on voluntary action from online platforms. The time for extended review has passed—what is needed now is the courage to act immediately.



Analysis on Recent Customs Judicial Precedent

Supreme Court 2024.4.16. Decision 2021du 36196 [Cancellation of customs duty imposition]

[Decision]

Whether the tax authority must prove that it cannot determine the taxable value of the imported goods in accordance with the prescribed method(**active**) from [Article 30 of the Customs to Act Article 35, Paragraph 1](#) in order for the tax authority to determine the taxable price and impose customs duties for certain imported goods according to [Article 35, Paragraph 2 of the Customs Act](#), which is a supplementary decision method,

Even if there are similar or identical products for the imported goods in question, if there are differences in transaction conditions such as transaction stages between the two products and there is no objective and reasonable data to adjust the price difference accordingly, whether the taxable price can be determined by the method prescribed in(**passive**) [Article 31 of the Customs Act](#).



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Here, what is meant by 'the transaction stages are the same' and whether the transaction stages can be considered the same when the roles of each party to the transaction are different in the two transactions above? **(passive)**

[Summary of the judgment]

The taxable price of imported goods is determined based on the transaction price between the parties in accordance with Article 30 of the Customs Act. However, in cases where there are certain reasons, such as free import of goods or special relationships, Articles 31 through 35 of the Customs Act are applied sequentially to determine the taxable price.

If the taxable price cannot be determined by the methods set forth in Articles 30 through 35 of the Customs Act, the taxable price may be determined in accordance with Article 35, Paragraph 2 of the Customs Act, which is a supplementary determination method. In this case, the tax authority must prove that the taxable price of the relevant imported goods cannot be determined by the methods set forth in Articles 30 through 35, Paragraph 1 of the Customs Act. In order to determine the taxable price as the transaction price of identical or similar goods recognized as the taxable price according to Article 31 of the Customs Act, the transaction conditions (commercial level) must be the same, and if there is a difference in the transaction conditions, the resulting price difference must be based on objective and reasonable data.

[Reference text]

Customs Act Articles 30, 31, 32, 33, 34, and 35

[Facts]

The plaintiff is a domestic subsidiary of Japanese Corporation A, and performed the work of installing, assembling, maintaining, and repairing semiconductor manufacturing facilities for domestic customers. The contract (sales contract) between Corporation A and the domestic customer includes the transfer, installation, and performance inspection of semiconductor manufacturing facilities, and the condition of the payment is 90% will be paid upon receipt of

the facilities by the customer, and 10% upon completion of the inspection.

The plaintiff provides startup services and maintenance services on behalf of Corporation A, including moving and installing equipment at the business site and inspecting performance. The plaintiff enters into a service contract with Corporation A for the provision of startup services and maintenance services, and does not receive any compensation from domestic clients when providing startup services, but only receives fees in accordance with the service contract.

In the case of maintenance services, the first two years are a free warranty period, and maintenance services are provided free of charge during that period. Maintenance services thereafter are provided for a fee.

The plaintiff imported parts required for work such as confirming the installation location, assembling and installing the equipment, etc. free of charge from Corporation A and used them for startup services. The plaintiff did not receive any separate compensation from domestic clients when providing startup services, and only received the fees specified in the service contract with Corporation A.

Even after the free warranty period expired, when providing maintenance services, A/S products of the same type and quality were used, and paid imported products were imported at a transfer price from Corporation A, and when providing maintenance services, payment for replacement parts and services was received from domestic customers.

The plaintiff imported parts used in the startup service free of charge, and in accordance with Article 31 of the Customs Act, declared the taxable price based on the transfer price of imported goods for a fee and paid customs duties, etc.

After conducting a customs investigation on the plaintiff, the customs office denied the plaintiff's declared price on the grounds that the transaction stages of paid imports are different from those of free imports and that there is no data to adjust the resulting price difference, and notified the plaintiff of the results of the customs investigation, stating that it would impose customs duties, etc. in accordance with Article 35, Paragraph 2 of the Customs Act.

Accordingly, the plaintiff filed a request for a pre-taxation review, and as a result of the reinvestigation, the price of the products for which the domestic sales price of similar and identical products was confirmed was determined to be the domestic sales price minus 7% of incidental expenses, and for the products for which the domestic sales price was not confirmed, the overseas standard sales price of Corporation A was determined as the taxable price, which was corrected and notified.

The plaintiff was dissatisfied with this and filed an appeal to the Tax Tribunal, and after a reinvestigation, the Tax Tribunal notified the plaintiff of the results of the reinvestigation that "the total transaction price

of the manufacturing facility shall be apportioned in proportion to the manufacturing cost of the manufacturing facility body and free goods in accordance with Article 35, Paragraph 2 of the Customs Act, but when calculating the apportionment, the warranty and common costs claimed by the plaintiff shall be excluded from the manufacturing cost," and reduced the original correction disposition.

[Judgment]

A. Based on the following circumstances that can be seen from the reasons for the original court's decision and the records, it is reasonable to conclude that it has been sufficiently proven that the goods in question and the imported goods are at different stages of transaction and that there is no objective and reasonable data to adjust the price difference that arose as a result.

1) The sales contract in this case is a contract in which Corporation A sells the manufacturing facility main body and the subject goods to a domestic customer, transfers ownership, and receives payment from the domestic customer in return for providing startup services, etc. The sale object includes not only the manufacturing facility main body but also the subject goods. Since the subject goods were imported through the performance of the sales contract in this case, the transaction that serves as the basis for determining the taxable price is the sales contract in this case concluded between Corporation A and the domestic customer.

2) The plaintiff is not an independent party to the sales contract of this case, but merely assists the seller, Corporation A, in performing its contractual obligations, such as startup services, for the purchaser, the domestic client company. In addition, the service contract of this case concluded between the plaintiff and Corporation A is a secondary contract for the performance of the sales contract of this case, and is only a transaction regarding startup services, i.e., services for transferring and installing the goods of this case, and is not a transaction regarding the goods of this case. Therefore, it is not possible to determine whether the transaction stages of the goods of this case and the imported goods for payment are the same based on the service contract of this case.

3) The goods in this case were sold directly from the seller (Corporation A) to the domestic customer, the final consumer, in accordance with the sales contract in this case, whereas the imported goods for payment were sold from the seller (Corporation A) to the plaintiff and then resold to the domestic customer in accordance with a separate contract.

4) The price of the goods in this case is determined through negotiations between Corporation A and its domestic customer, which is the counterparty of the transaction, whereas the transfer price, which is the price of the imported goods for payment, is merely a policy determined internally by Corporation A for

transactions with the plaintiff, which is a foreign special related party. In light of the structure of this price determination, etc., it is inevitable to see that the price difference between the goods in this case and the imported goods for payment arises due to differences in transaction conditions such as the transaction stage, but there is no objective and reasonable data that can adjust the price difference.

B. When examining the reasons for the original judgment in light of the relevant legal principles and records, there are some inappropriate parts in the explanation of the reasons for the original judgment. However, the conclusion that the taxable value of the goods in this case cannot be determined by the method prescribed in [Article 31 of the Customs Act](#) in the original judgment is justified. There is no error in legal interpretation regarding the transaction stages in [Article 31, Paragraph 1, Subparagraph 2 of the Customs Act](#).

C. For the same reason as the judgment, the original court determined the taxable price of the goods in this case by apportioning the total transaction price of the manufacturing equipment sold by Corporation A in proportion to the manufacturing cost of the manufacturing equipment itself and the goods in this case. It is a method that is reasonably recognized in light of the reality and practice of the transaction according to [Article 35, Paragraph 2 of the Customs Act](#), and it was determined that the warranties, etc. claimed by the plaintiff cannot be included in the manufacturing cost when calculating the allocation in light of their nature, etc.

D. If we examine the reasons for the original judgment in light of the relevant legal principles and records, we can see that in the original judgment, there is no error in the legal interpretation of the method of determining the taxable price according to [Article 35, Paragraph 2 of the Customs Act](#).

E. The plaintiff's argument in this part of the grounds for appeal is that the defendant did not exclude warranties, etc. from the numerator of the calculation formula applied to determine the taxable price of the goods in question, but the original court made a different judgment. However, this is ultimately nothing more than criticizing the selection of evidence or fact finding that falls within the jurisdiction of the original court, which is the trial court of fact, and is therefore difficult to regard as a legitimate ground for appeal. Furthermore, even when examining it in light of the record, there is no error in the original court's judgment that violated the laws of logic and experience, went beyond the limits of the principle of free judgment, acknowledged the facts, or failed to conduct the necessary examination.

F. The original court judged that the principle of protection of trust was not applicable to the assessment disposition in this case for the same reasons as the ruling, such as that the defendant could not be seen as having expressed to the plaintiff at the time of the customs investigation in 2004 that it was acceptable to report the taxable price based on the transfer price of imported goods for goods similar to the goods in this case.

When examining the reasons for the original judgment in light of the relevant legal principles and records, there is no error in the interpretation of the principle of protection of trust in the original judgment.

E. For the same reasons as the judgment, the lower court determined that it was difficult to find a justifiable reason to blame the plaintiff for failing to pay the tax reported and paid in relation to the goods in question.

When examining the reasons for the original court's decision in light of the relevant legal theories and records, there are some inappropriate parts in the explanation of the reasons for the original court's decision, but the conclusion rejecting the plaintiff's argument that there is a legitimate reason to avoid the surcharge is justified, and there is no error in misinterpreting the law regarding the legitimate reason for exempting the surcharge.

[Conclusion]

The appeal is dismissed, and the costs of the appeal are to be borne by the losing party. This decision is made with the unanimous opinion of the participating supreme Court Justices as per the order.

[Commentary]

This ruling is a complex case involving international transactions, transfer pricing, and customs valuation, and is a case in which the court analyzed the substance of the transaction and acknowledged the rationality of the tax authority's valuation method. In particular, it can be used as a reference as it organizes various customs valuation criteria such as the importance of objective data, the limitations of internal transfer pricing, and the substantive interpretation of differences in transaction stages.

1. Possibility of price comparison with similar products

In this case, the plaintiff insisted on the validity of calculating the taxable price through price comparison with imported goods, but the original court judgment and the Supreme Court denied this, citing the

fundamental difference in the transaction structure. This is a case of application of a clear legal interpretation of the “difference in transaction stage” under Article 31, Paragraph 1, Subparagraph 2 of the Customs Act, and can provide an important reference point for actual similar cases.

2. Internal transfer price of the company

The case law points out that the price at which Corporation A sold to the plaintiff, a special related party, is merely a transfer price based on internal policy, and therefore, it is difficult to recognize it as an objective starting price. This means that in order to determine an appropriate transfer price based on customs valuation standards, the actual reality of transactions in the actual market must also be reflected.



HS case solved by logic

HS Cases for Automobile Body Parts (HS Changes Due to Partial Revision of Product Classification Change Notice)

1. outline

When the Korea Customs Service changes the classification decisions previously decided and announced by the Customs Tariff Classification Committee, etc., it officially publishes them in the Official Gazette. You can check this in the 'Notice of Changes to Classification of Imported and Exported Goods, etc.' Below, we will examine the changes to automobile body parts among the contents of the notice of changes to classification of goods that were partially revised as of May 26.

2. Product name

1) GARNISH ASSY-RR DR RR FRAME,LH ; 83270-A7000



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- 2) GARNISH ASSY-FR DR FRAME,LH(82250-B1000(DH)
- 3) GARNISH ASSEY-RR DR FRAME,LH(83250-B1000(DH)
- 4) GARNISH ASSY-C PILLAR-LH
- 5) GARNISH ASSY-A PILLAR-LH
- 6) GARNISHASSY-FR DR FRAME LH; 82250-2W000

3. Product Description

- A product made by assembling a clip into a plastic injection molded product.
- Installed between the front door and rear door of a car to protect the car body from external impact and to carry out the design concept of the car body's exterior.

4. Past decisions

- HS item number before change: heading 3926.30-0000 (Plastic body attachment)
- In Note 2 of Part 17 of the Tariff Schedule, "General-purpose parts of non-metallic materials (Part 15) or similar plastic products (Chapter 39) of Note 2 of Part 15" are excluded from Part 17.
- In the general introduction of Part 17, it is explained that general-purpose parts in Note 2 of Part 15 are "attachments or mountings used on the body of a vehicle, etc., made of non-metal, are classified in heading 83, and similar articles made of plastic are classified in heading 39."
- "Other products made of plastic" are classified in Tariff Schedule heading 3926.
- In the same issue commentary, it is explained that "attachments for furniture, automobile bodies, or similar items are included in this heading."
- Therefore, this product is classified under heading 3926.30-0000 according to General Rules on Interpretation of Tariff Schedule heading 1 (Terms of heading 3926) and heading 6 as a plastic body attachment installed between the front door and the rear door of a car to protect the body from external impact and to implement the design concept of the exterior of the body.

5. Notice of change in product classification

- HS item number after change: No. 8708.29-0000 (body parts)
- Since it corresponds to a part or accessory of the body, it is classified under heading 8708.29-0000 (Decision of the 2nd Tariff Classification Committee in 2025)

6. Implications

In the case of plastic injection molded products attached to the body when classifying automobile parts, they were often classified under heading 3926. However, after the revision of the notification, products that are attached to the body in the form of a clip or EPDM rubber pad attached to a plastic injection molded product and perform the function of protecting the body from external impact and decorating the exterior (Garnish Assy) must be classified under heading 8708. In addition, there is a need to inspect similar body parts.

The two HS codes have different rates, 6.5% for 3926 and 8% for 8708, so you should be careful because there is a risk of underpayment when using the existing HS code. In particular, for US exports, it is likely that they will be subject to US auto parts tariffs, so a comprehensive review is necessary.



Global Customs Insight

Strengthening Vietnam's country of origin management and supervision

The year 2025, the beginning of the second term of Trump, feels like the beginning of a huge change, with the trend of global trade shifting from "free trade" to "protectionism." Following the announcement of the "country-by-country reciprocal tariff imposition" (currently in a grace period) measure, which can be interpreted as part of the Trump administration's trade policy, Vietnam is declaring that it will strengthen management in various areas that were not considered to be relatively strict. The most representative of these is "strengthening management and supervision of the country of origin system." In this article, I would like to talk about Vietnam's "country of origin management system," which has been recently strengthened.



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1. Ministry of Industry and Trade of Vietnam (MOIT), Decision 09/CT-BCT (April 15, 2025): Instructions on strengthening state management on origin inspection and supervision in the new situation

- MOIT has issued an official document instructing subordinate departments to strengthen national management of origin inspection and supervision under the new international trade situation. The main contents of the official document are as follows:

- The Import-Export Department of the Ministry of Industry and Trade, in cooperation with the Legal Department, is responsible for studying the legal documents related to the field of origin and promptly advising the relevant authorities on the amendments and supplements of the law for the implementation of the issuance of C/Os in new situations. At the same time, the Import-Export Department directs the agencies and organizations issuing C/Os, **in particular, for export products using imported raw materials, the issuance and inspection of C/O should be strengthened according to specific origin criteria. If necessary, the import and export departments should propose specific measures to prevent illegal transshipment, prevent counterfeiting of origin, and protect the reliability and interests of Vietnamese export products.**

- The Department of E-commerce and Digital Economy shall cooperate with the Ministry of Import and Export to urgently improve and perfect the functions of the Ecosys system (Vietnam's computerized website for application and issuance approval of FTA COs), so as to expedite the issuance of non-preferential C/Os and ensure the efficiency of issuing preferential C/Os.

- **Agencies and organizations issuing C/Os must faithfully perform C/O issuance, inspection, and verification tasks in accordance with the law. In particular, for companies with a sudden increase in the number of C/O issuance applications, inspections must be strengthened to prevent falsification of origin, and activities for origin inspection and verification of production facilities must be organized and implemented before and after C/O issuance.**

2. MOIT, Decision 1103/QĐ-BCT (2025.04.21): Decision on revocation of the right to issue VCCI Certificate of Origin (C/O) and Certificate of Non-Processing (CNM) and register REX code

- The Ministry of Industry and Trade of Vietnam has issued a decision to revoke the authority granted to the Vietnam Chamber of Commerce and Industry (VCCI) to issue Certificates of Origin (C/O) for exported goods and register Exporter Registration Numbers (REX numbers) as of April 21, 2025. **Accordingly, some certificates of origin, including the non-preferential certificate of origin Form B issued through the existing VCCI, and REX Code registration will be transferred to the Ministry of Industry and Trade (MOIT), which will be responsible for management and issuance.**

- VCCI withdrawal rights

** General Certificate of Origin (C/O Form A, B) - Decision 1234/QĐ-BCT (2018.04.12)

** CNM_Certificate of Non-Manipulation - Decision 1234/QĐ-BCT (2018.04.12)

** Certificate of Origin under the GSTP Agreement - Decision 1076/QĐ-BCT (2020.04.03)

** Registration of REX code for exporters under the Norwegian and Swiss Generalized System of Preferences - Decision 2795/QĐ-BCT (16 December 2022)

From April 21, 2025 to May 4, 2025, VCCI and Vietnam Ministry of Industry and Trade (MOIT) shall complete the handover procedures of all related documents and works mentioned above.

3. National Coordination Committee Permanent Secretariat, Official Letter 38/VPTT-TH (2025.04.10): Strengthening the Prevention of Trade Fraud Related to Origin

- On April 7, 2025, at a meeting attended by ministries, diplomatic missions, associations and enterprises, with the aim of proactively responding to the new situation in the international trade environment, the Prime Minister proposed the following solutions, including strengthening responses to export goods falsely labeled as made in Vietnam:

Accordingly, in order to effectively implement the Prime Minister's directive, the Permanent Secretariat of the State Coordination Committee 389 requests each ministry, agency, and local authority to instruct relevant institutions to thoroughly implement the following:

1) Monitor, control, detect, and prevent the import and export of goods falsely labeled as being made in Vietnam through land borders, maritime ports, and international airports, and strengthen situation assessment, patrol, and crackdown activities to take swift and strict measures against such acts.

2) Strictly inspect and control the procedure for issuing Vietnamese certificates of origin for export goods manufactured using imported raw materials and auxiliary materials, and process them in accordance with the current laws and regulations on origin.

3) Continuously check for any institutional loopholes or deficiencies in the criteria for determining origin, revise or supplement them according to the relevant authority, or suggest revision or supplementation of laws and regulations to relevant organizations in accordance with relevant laws and regulations to complete relevant laws and regulations.

- In accordance with the above regulations, not only is the certification of origin for exported goods strengthened, but the labeling of the actual origin of exported items and crackdowns on counterfeit goods (fake products) that violate trademark rights and are widely distributed in some areas of Vietnam are also being strengthened.

So far, we have looked at the main official documents of each relevant department related to the management of "origin" in Vietnam, which is becoming more stringent in 2025. Even from the perspective of a practitioner who is actually working in Vietnam, even in the case of customs inspections (post inspections) compared to the past, the appropriateness of past issuance of FTA certificates of origin or history storage, and balance management are much more important investigation factors to be checked. When making an export declaration, it requests proof of whether the country of origin information stated on the export declaration is actually correct.

In Hanoi's Koreatown "Mydinh", many stores that deal in trademark infringement products are experiencing a situation where they are unable to operate due to recent continuous crackdowns, and they are actually experiencing a situation where management of the entire country of origin system is being strengthened in various aspects.

Given that these policy changes are likely to continue in the future and will increasingly require institutionalized, legal management, I think it is time for a different perspective.

We have developed the "Kord FTA Origin Management System" for the computerized management of legal and systematic origin work and are providing it to many export companies in Vietnam. If you have any concerns about the issuance, management or origin-related issues in Vietnam, please feel free to contact us at any time. Thank you.



FTA and import/export practical business guide

Regarding the determination of strategic materials during export customs clearance

1. What are strategic materials?

It refers to weapons of mass destruction and their means of delivery, such as missiles and conventional weapons, as well as goods, software, and technology that can be used for their manufacture, development, and use, and is listed in Appendix 2-3 of the 'Strategic Materials Export and Import Notice.'

2. Method of judging strategic materials



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- ① Self-judgment: A method in which exporters use an online system to make their own assessments.
- ② Pre-judgment: Method of making a decision by officially applying to a specialized judging agency such as the Strategic Materials Management Agency

Distinction	Self-Judgment	Pre-Judgment
relevant provisions	Article 12 of the Strategic Goods Export/Import Notice (Determination of Strategic Goods)	Article 20 of the Foreign Trade Act, Article 12 of the Strategic Goods Export/Import Notice
Determining Party	The company itself	Pre-determination agency
Valid Period	None	Strategic Goods: 2 years
	* However, expires on the date of revision if the item list is updated	
Extension of Validity	Although no fixed period, re-determination is required when the item list is revised	After expiration, must re-apply for pre-determination within 15 days * May be extended if expert consultation or further review is needed
Processing Time	Immediate confirmation possible	Within 15 days
Document Retention Obligation	If documents are submitted and registered via the Strategic Goods Management System (yestrade), retention obligation is waived. Otherwise, documents must be retained for 5 years.	If documents are submitted via the Strategic Goods Export/Import Management Information System, retention obligation is waived.
Remarks	If urgent, self-judgment may be used since it carries the same legal effect. However, incorrect judgments may result in legal liability. For sensitive items or uncertain classifications, it's recommended to apply for pre-judgment in advance to manage risk.	

3. Actions based on the judgment results

- ① In case the self-judgment result is "non-applicable to strategic materials"
When customs requests evidence of whether or not an item is a strategic material, prepare and keep the judgment form "Attachment 1. Self-Judgment Form" so that it can be immediately submitted.

② In case the judgment result is "strategic material"

Any person wishing to export items classified as strategic materials must obtain an export permit from the strategic materials export permit agency and then file an export declaration with the customs director.

Export permits can take up to 15 days to obtain, so you should apply for an export permit in advance.

4. How to use the online self-judgment system

① Preliminary preparation – Membership registration and issuance of authorized verification certificate

Apply for membership as a corporate member at the Strategic Materials Management System (<https://www.yestrade.go.kr>).

"General purpose for business" authorized verification certificate application agency: Korea Trade Information and Communication, Financial Supervisory Service, Korea Information Certification, Korea Securities Computer System (KOSCOM), Korea Electronic Certification, Korea Trade Information and Communication (Tradesign)

② Judging method

Log in to the Strategic Materials Management Center → Answer "Yes" or "No" to the questionnaire provided by the system → Write the basis for your "Yes" or "No" response → Decision

③ Detailed procedures - 「Attachment 2. YesTrade Self-Judgment System Simple Manual」

④ Judgment TIP

Rather than judging all items at once, representative items with frequent exports get judged.

If you find it difficult to understand the questions presented by the system, please request a preliminary judgment from the Strategic Materials Management Agency.

5. If you are not prepared with a authorized verification certificate

① Judgment can be made without logging in to the Strategic Materials Management Center. However, the judgment certificate cannot be printed.

If the judgment result is determined to be 'not applicable', please create and keep the "Attachment 1. Self-Judgment Form" on your own.

The mandatory retention period for documents related to judgment is 5 years.

② Benefits of logging in with an authorized verification certificate

You can print the strategic materials self-judgment form in the online system using "Attachment 1. Self-judgment form." After the representative signs or stamps it, you can immediately submit it to the relevant organizations.

Documents related to the decision must be automatically kept for 5 years.

6. Penalty

Any person who exports strategic materials without obtaining an export permit is subject to imprisonment for up to 7 years or a fine of up to five times the price of the exported goods in accordance with Article 53 of the Foreign Trade Act.

7. Notes

For most companies filing export declarations, they submit a strategic material self-judgment report and receive export declaration processing. However, if the customs office in charge of the export destination conducts a joint inspection with the relevant agency, they may request a preliminary judgment report instead of a self-judgment report.

Therefore, since there are cases where processing is not possible with just a self-judgment certificate, companies must check in advance whether the items subject to export declaration are listed in the Dual-Use Items in Appendix 2 of the Strategic Materials Export and Import Notice or the Military Materials List in Appendix 3, and receive a preliminary judgment. If applicable, an additional export permit must be obtained from the export licensing agency. If not applicable, the non-applicable response must be provided as evidence.

There is no separate validity period for the self-judgment certificate, and the validity period for the preliminary judgment certificate is two years.



Contents and Opinion of Customs Trade Amendment

Proposed Amendment to the Public Notice on the Registration and Management of Customs Clearance Unique Codes and Foreign Transaction Party Codes

1. Outline

The purpose of the notice on the registration and management of unique customs clearance codes and overseas transaction codes is to accurately assign and manage identification codes for export/import customs clearance companies or individuals by specifying the necessary matters regarding the issuance procedures and management of unique customs clearance codes and overseas transaction codes pursuant to Article 77-5, Paragraph 2 of the Enforcement Decree of the Customs Act, thereby ensuring the appropriateness of export/import customs clearance work. This notice has been revised for the convenience of export/import companies and individuals, and will be effective from June 18, 2025.



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2. Reason for revision

- 1) Establish institutional means to ensure the safety and validity of personal customs clearance codes by periodically updating personal information.
- 2) Support corporate activities by easing regulations so that even business owners can obtain a unique customs code and perform customs clearance work before registering their incorporation.
- 3) Improvement of convenience for applicants by revising the application form for customs clearance code and establishing a provision for omitting submission of power of attorney

3. Major revisions

- 1) Establishment of a new validity period (1 year) for personal customs clearance codes (Articles 5, 8, 13, and 16)

Regulations on renewal due to the establishment of a new validity period for personal customs clearance codes, processing methods upon expiration, etc.

- 2) Establishment of suspension of use of personal customs clearance code (Article 25)

The code manager may suspend codes that have been confirmed to have been plagiarized or used in an illegal manner.

- 3) Establishment of cancellation of personal customs clearance code (Article 5, Article 8, Article 13)

Permanent suspension of use of the code when failure to renew a personal customs clearance code or at the user's request

- 4) Establishment of procedures for issuing a unique customs clearance code to business owners prior to corporate registration (Article 6, Article 12)

Regulations on documents to be submitted in lieu of a certificate of incorporation and procedures for post-verification so that business owners who cannot submit a copy of the corporate registration due to the time required for corporate establishment registration can perform customs clearance work

5) Revision of customs clearance code format and writing method (Appendix 2, Appendix 4)

① Add permanent suspension of use item to the business owner customs clearance code change application form

② Add English text to the application form for personal customs clearance code and change some of the writing methods, such as adding nationality.

6) Revision of the subject of submission of power of attorney and method of writing

① In cases where a customs broker is commissioned to perform work under Article 2, Paragraph 3 of the Customs Brokerage Act and applies for an 'Overseas Business Partner Number' on behalf of the company, regulations have been relaxed to allow for the omission of submission of a power of attorney.

② Elimination of 'seal stamping' on power of attorney and simplification to 'signature or name stamping'

4. Comments on the revision

It is believed that the safety of personal customs clearance codes can be secured by setting the validity period of personal customs clearance codes to 1 year, which was previously unavailable, and allowing for ex officio suspension of use if theft, etc. is confirmed. In addition, since the revision allows business owners to receive a business customs clearance code in advance before registration, customs clearance work has become much easier. Usually, customs brokers who receive requests for overseas transaction codes from shippers and file import/export declarations apply on their behalf, but by easing regulations to allow for the omission of a power of attorney, this revision of the notification can be seen as intended to promote convenience for individuals, corporations, and customs brokers.

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